

QUICK COMMERCE · INDIA · JULY 2026

ZEPTO

Product Teardown & Growth Strategy

10-minute delivery, evidence-driven research, and the fight for second place in a three-way quick-commerce war.

Fast, Funded, and Still Fighting for Trust

2

A three-way war, not a monopoly

Blinkit leads with ~45–50% share; Zepto and Instamart trade second place around 20–29% depending on the metric and month.

₹

Growth is real, profitability isn't yet

FY26 revenue grew ~104% YoY to ₹11,550 Cr, but net loss widened to ₹5,910 Cr ahead of a planned 2026 IPO.

!

The risk lives in fulfillment and pricing, not discovery

Regulatory filings and public reviews consistently cite missing items, spoiled products, hidden fees, and refund friction — not app usability or catalog breadth.

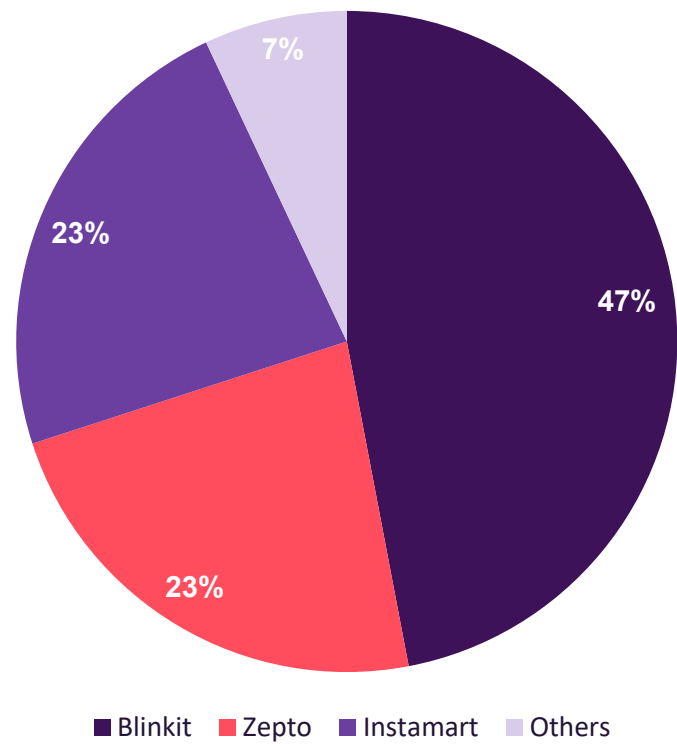
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The opening is trust-driven frequency

Converting emergency, one-off orders into a weekly habit means closing the fulfillment-and-pricing trust gap before adding more categories.

Quick Commerce Has Become India’s Default Grocery Aisle

India Quick-Commerce Share, 2026 (est.)



Estimates blend GMV and order-volume share and vary by source/city — read as directional, not precise.

₹963B

Quick-commerce GMV, CY2025 (~\$11.3B) — projected to grow 5–7x by 2030

~2/3

Share of all e-grocery orders now placed via quick commerce

6

Major players now competing: Blinkit, Zepto, Instamart, BigBasket, Amazon Now, Flipkart Minutes

Zepto, at IPO-Filing Altitude

FOUNDED 2021, by Aadit Palicha & Kaivalya Vohra (Stanford dropouts)

VALUATION \$7B — Series J/H, Oct 2025, led by CalPERS

DARK STORES 1,089 operational (Mar '26), ~20% of orders now from tier-2 cities

FY26 REVENUE ₹11,550 Cr, up ~104% YoY

FY26 NET LOSS ₹5,910 Cr, widened from ₹4,700 Cr in FY25

AD REVENUE ₹1,640 Cr, up ~151% YoY — a growing share of the topline

CASH RESERVE \$600–700M — thinnest of the top 3 (vs. Blinkit's \$1.9B)

IPO PLAN DRHP filed confidentially with SEBI; targeting ₹9,500–11,000 Cr issue, H2 2026

Evidence Over Opinion: Applying the Mom Test to Zepto

Asking users whether they’d like a new Zepto feature invites polite lies. The Mom Test protocol reframes every question around historical behavior, which is far harder to fake.

✗ Weak, opinion-based	✓ Mom Test reframe
“Would you use 10-minute electronics delivery?”	“Walk me through the last time you urgently needed a charger or cable — what did you actually do?”
“Would instant refunds make you trust Zepto more?”	“Tell me about the last time an order went wrong. What did you do next, and how long did it take?”
“Do you like the substitution feature?”	“Show me the last substitution you got. Did you keep it, return it, or complain?”

Heuristic evaluation, in parallel: alongside interviews, the app is audited against Nielsen usability heuristics to catch friction users won’t always articulate unprompted (next slide).

Open research gap: this teardown also draws on public-record sources — the CCPA order, FSSAI/FDA inspection notices, Trustpilot, and a dedicated Reddit dark-pattern tracking community. The 5+ structured interviews above are the template to run next; they have not been conducted yet.

Where the Experience Breaks Down

1.5 / 5

avg. category rating; only ~20% would recommend

- 1

Visibility of system status

The ‘10-minute’ promise sets a precise expectation, but there’s no reliable real-time signal for substitutions or partial fulfillment before checkout.
- 2

Error recovery & user control

Refunds require screenshots and multi-day chat threads; users describe getting ‘trapped in an endless cycle of automated support.’
- 3

Match between system and real world

Reviews repeatedly cite spoiled or stale items (milk, eggs, produce) arriving under a freshness promise the UI implies but doesn’t verify.
- 4

Consistency across sessions

Missing items ‘even though full payment has been made’ recur across complaints — a break that compounds with each occurrence (Negativity Bias, see Slide 11).
- 5

Freedom from hidden costs

A ₹7 lakh CCPA fine for drip-pricing and basket-sneaking (Dec 2025) shows the checkout flow itself violated user-control heuristics — not just hygiene ones.

Framing the Real Problem



WEAK

“Zepto has quality and trust issues.”

- ✗ No timeframe, no city, no source
- ✗ “Issues” bundles pricing, fulfillment, hygiene, and support into one vague word
- ✗ Not falsifiable — can’t tell if a fix worked

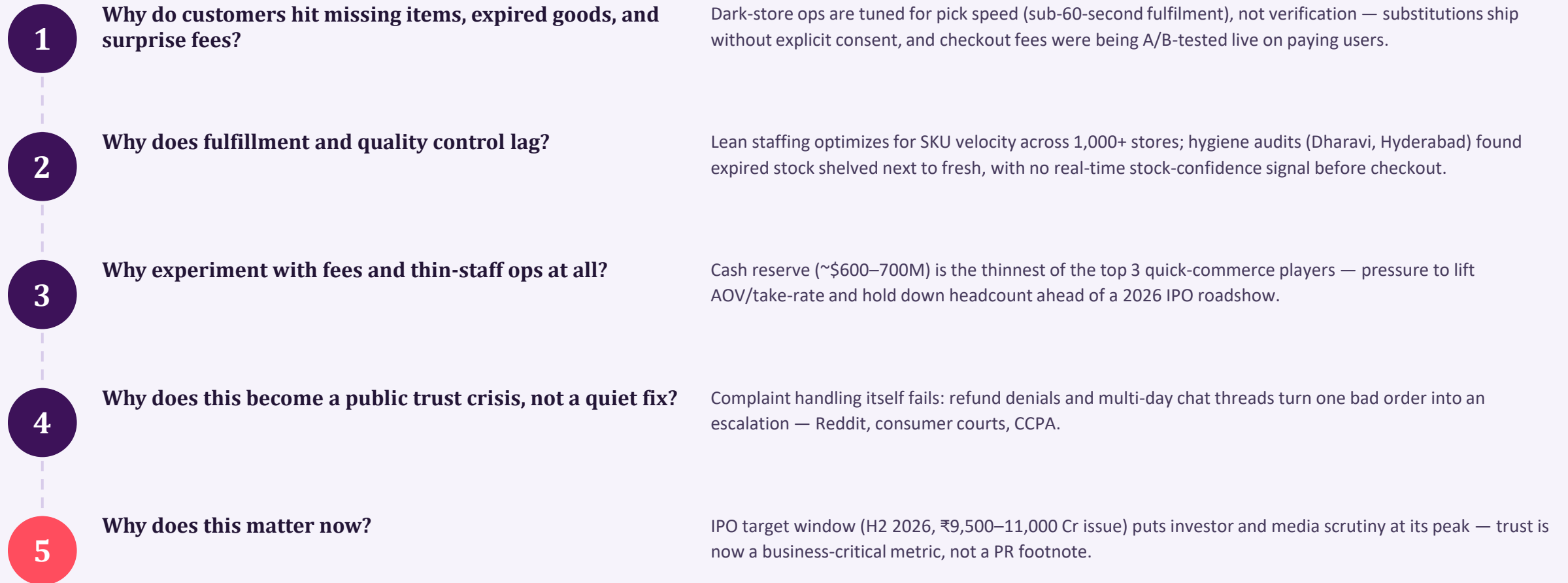


STRONG

Between May–Dec 2025, Zepto drew FSSAI/FDA licensing action in 2+ metros for expired-stock and pest violations, plus a ₹7 lakh CCPA fine for drip-pricing and basket-sneaking — while missing items and refund denial are the most-cited complaints across Trustpilot, consumer-court filings, and independent review platforms (avg. 1.5/5).

Sources: CCPA order (Dec 2025) · Maharashtra FDA + GHMC/CMC inspection reports (2025) · Trustpilot · Consumer Court Advisor filings · independent review platforms

Root Cause: Five Whys



Three Archetypes, Drawn From Usage Patterns and Complaint Data



Priya

28 · Bengaluru · Marketing professional

THE HABITUAL REORDERER

Orders 4x/week for convenience; two bad refund experiences are enough to make her question the habit entirely.

“I don’t mind paying more — I mind not knowing if it’ll actually show up right.”



Rohan

24 · Delhi NCR · Student

THE EMERGENCY SHOPPER

Low frequency, high emotional stakes — needs medicine or a forgotten item now, and is price-insensitive in the moment.

“I just needed it in the next ten minutes. I wasn’t comparison-shopping.”



Meena

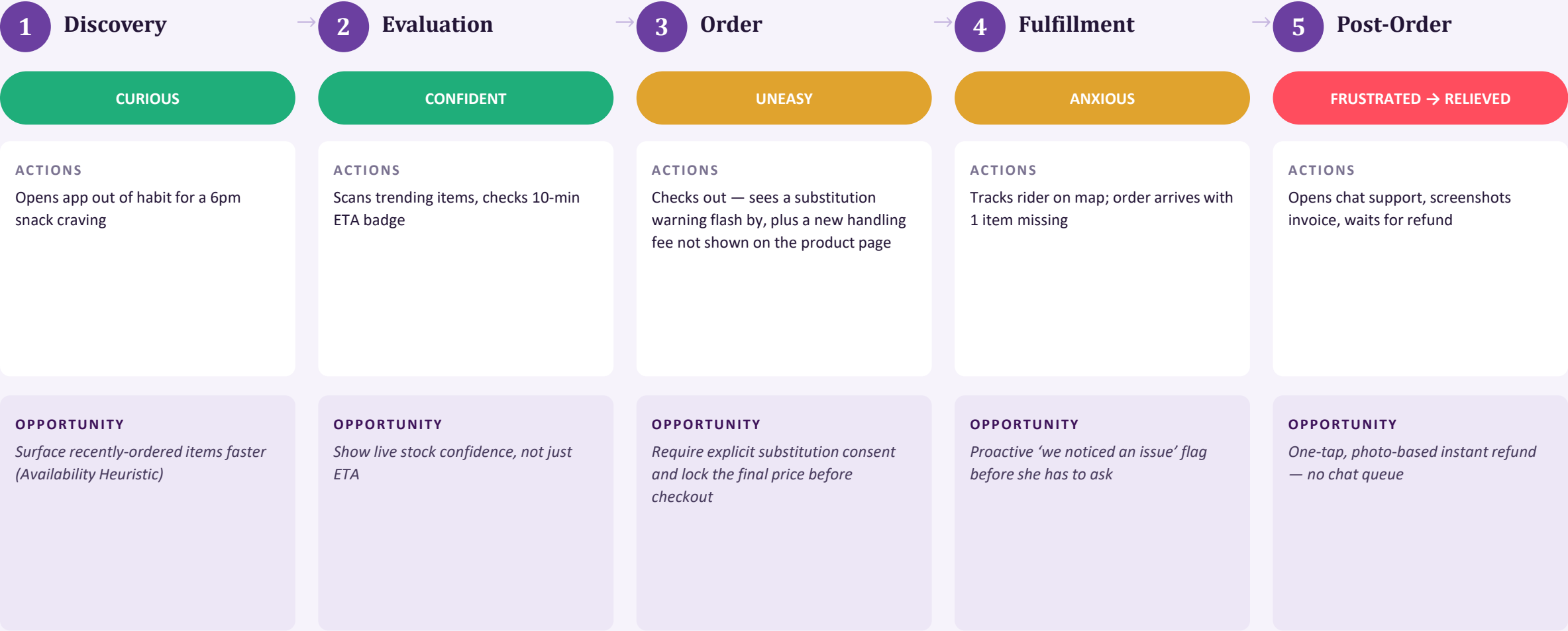
34 · Mumbai · Homemaker

THE SKEPTICAL SWITCHER

Price-sensitive; checks Zepto, Blinkit, and Instamart before most orders. Once received pet food manufactured 13 months earlier, sold as current stock — one incident like that and she’s gone for weeks.

“If the eggs come broken again, I’m just going back to the app that doesn’t do that.”

Priya’s Order, From Craving to Complaint



Cognitive Biases Already at Work Inside Zepto

Bias	Zepto Mechanic
Planning Fallacy	The ‘10-minute’ promise is itself an anchor — the sharper the promise, the more painfully any miss registers.
Negativity Bias	One spoiled item or missing SKU is remembered far more vividly than ten clean deliveries — explaining the outsized weight of refund complaints in reviews.
Zeigarnik Effect	Abandoned carts and ‘items waiting’ nudges pull users back to finish an interrupted purchase.
Availability Heuristic	‘Trending near you’ and recently-ordered modules lean on what’s top-of-mind rather than a full catalog search.
Endowment Effect	Saved addresses, default payment methods, and Zepto Super membership raise the switching cost of leaving.
Peak-End Rule	A slow, chat-queue refund is the last thing an unhappy user experiences — a one-tap resolution could flip a bad ‘end’ into a neutral one (see Slide 12).

Three Epics, Each Traced to a Research Finding

1

Verified Freshness

From: FSSAI/FDA hygiene violations

- Pack-time expiry-date photo, visible in order tracking
- Auto-block near-expiry SKUs in pet food/dairy/meds unless flagged 'near-expiry discount' with consent

2

Fulfillment Integrity

From: heuristic eval + journey map

- Explicit substitution consent before charging — no silent swaps
- Live stock-confidence indicator before checkout, not just an ETA badge
- Proactive 'we noticed an issue' flag before the customer has to ask

3

Trust & Pricing Loop

From: CCPA fine + complaint records

- All-inclusive price shown from the product page — no late fee additions
- One-tap, photo-matched instant refund below a rupee threshold
- No silent 'suspicious activity' freeze without a disclosed human review

Which Epic Ships First

Parameter	Verified Freshness	Fulfillment Integrity	Trust & Pricing Loop
Reach (1–5)	4	5	5
Impact — user (1–5)	5	4	4
Impact — business (1–5)	3	4	4
Confidence (1–5)	3	4	4
Effort (1–5, higher = harder)	4 — hardware/ops	3 — app + ops signal	2 — mostly software
Priority score*	11	14	15

**Priority score = Reach + Impact(User) + Impact(Business) + Confidence – Effort*

Ship order: Trust & Pricing Loop (15) → Fulfillment Integrity (14) → Verified Freshness (11) — software-first, hardware-heavy last.

SECOND-ORDER THINKING

1ST ORDER

Refund friction drops; escalations to Reddit/consumer court shrink.

2ND ORDER

Support cost per order falls; NPS and habit frequency recover — a pre-IPO retention story.

EFFECT ON NORTH STAR

Fewer trust-driven drop-offs from Weekly Orders per Active User (next slide).

A North Star Metric for a Frequency Business

NORTH STAR METRIC

Weekly Orders per Active User

BREADTH

New + reactivated users placing at least one order this week

DEPTH

Basket size / AOV per order — pharmacy, Café, and private label as expansion levers

FREQUENCY

Orders per active user per week — the core habit-formation signal

EFFICIENCY

App-open-to-checkout time · fulfillment accuracy · complaint-to-resolution time · refund auto-approval rate · FSSAI/CCPA violations (trailing 12mo)

Watch the vanity-metric trap: ‘Referral invites sent’ looks healthy but proves nothing. Track actual invite-to-order conversion and Time to First Referral instead — two-sided referral incentives convert 2–3x better than one-sided ones.

Build the Trust-First Fulfillment Layer

Every framework above points to the same conclusion: Zepto's growth ceiling isn't discovery or speed — it's whether an order arrives as promised, at the price first shown. Fix that, and the psychology already at work (Zeigarnik, Endowment) starts compounding retention instead of fighting Negativity Bias.

1

Proactive substitution consent

Require an explicit yes/no on any substitution before charging — closes the 'visibility of system status' gap from the heuristic audit.

2

Photo-based instant refund

Let users submit a photo of a damaged/spoiled/missing item for automatic same-session refund, replacing the multi-day chat queue.

3

Freshness confidence signal

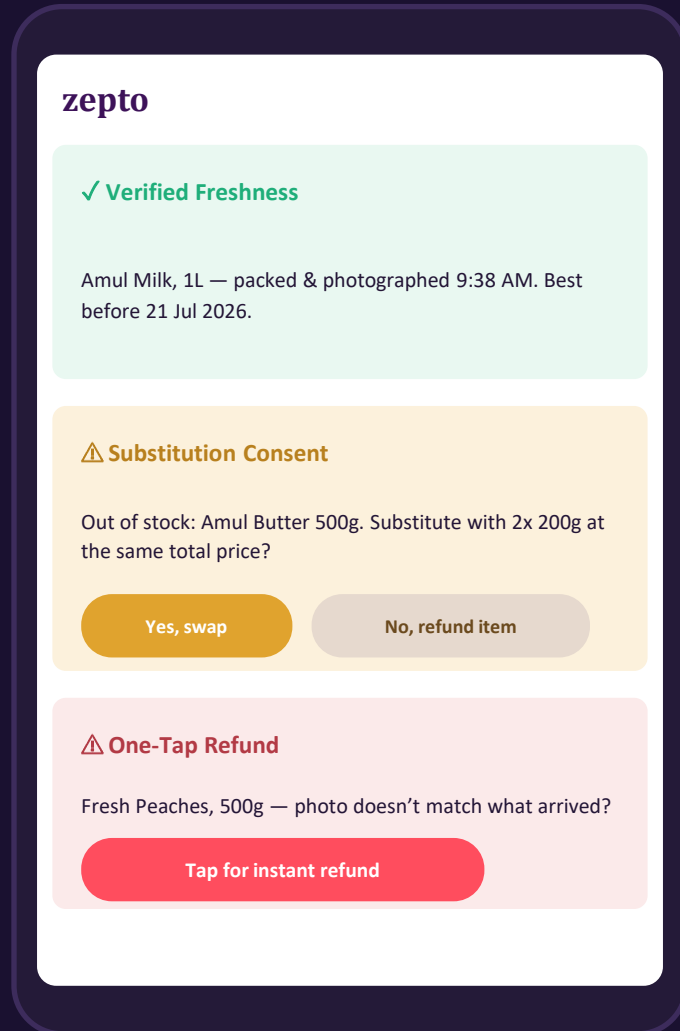
Show a simple sourced-today / batch-verified badge on perishables to directly counter the spoiled-item complaint pattern.

Expected impact: lower refund-driven churn among habitual reorderers, a defensible answer to the #1 complaint category ahead of IPO scrutiny, and a fulfillment-trust moat competitors can't copy by simply adding more dark stores.

Where to Go From Here, in Order

- 1 Ship Trust & Pricing Loop first**
Highest priority score, software-only — directly stops the refund-denial and hidden-fee pattern behind the CCPA fine.
- 2 Ship Fulfillment Integrity next**
Closes the ‘visibility of system status’ and substitution-consent gaps flagged in the heuristic audit.
- 3 Mandate pack-time photo + expiry capture**
Start with pet food, dairy, and medicine — the categories where ‘expired’ carries real health stakes.
- 4 Publish a quarterly dark-store audit pass rate**
Turn a compliance obligation into a public trust metric ahead of IPO scrutiny.
- 5 Track Weekly Orders per Active User by complaint cohort**
Quantify what a bad order actually costs in frequency — the number that makes this a business case, not just an ethics one.

Three Moments That Close the Trust Gap



Verified Freshness

A timestamped photo of the expiry label is taken at pack time — not left to arrive as a surprise.



Fulfillment Integrity

Out-of-stock items require explicit swap consent at the same price — never a silent substitution.



Trust & Pricing Loop

A mismatched or damaged item is auto-refunded below a threshold — no scripted denial, no chat queue, no account freeze.

The 10-minute promise only compounds if what arrives matches what was promised.

Speed built Zepto's reputation. Trust in fulfillment and pricing will decide whether that reputation survives contact with an IPO prospectus and two well-funded rivals.

Thank you